



Compound Growth Cheat Sheet

For your Wisdom: the long game, in numbers.

John says: Compound growth is the closest thing to magic in this tavern. You earn returns on your returns, and time does the heavy lifting. Here's what steady looks like.

The Rule of 72

Divide 72 by your yearly return to estimate how many years it takes money to double. At 6% that's about 12 years. At 7%, about 10. At 8%, about 9.

Steady monthly saving at a 7% average yearly return

Per month	After 10 years	After 20 years	After 30 years	You put in over 30 years
\$100	\$17,308	\$52,093	\$121,997	\$36,000
\$250	\$43,271	\$130,232	\$304,993	\$90,000
\$500	\$86,542	\$260,463	\$609,985	\$180,000

Real returns bounce around year to year. Seven percent is a long-run average many planners use for a diversified stock fund, not a promise.

Why starting matters more than the amount

Who	Saves	For	At 65 (7%)
Starts at 25	\$200 a month	40 years	\$524,963
Starts at 35	\$200 a month	30 years	\$243,994
Starts at 45	\$400 a month	20 years	\$208,371

Three ways to use this

- Pick a monthly number you can keep up for years, not a big one you'll quit in March.
- Automate it so it happens whether or not you remember.
- When the market dips, keep pouring. Dips are when your money buys more.

